MeritQuant

Autonomous Trade Report

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PORTFOLIO VALUE	NET P&L; vs COST	CASH RESERVE	POSITIONS	REGIME
$175,465	**-7,535 (-4.12%)**	**$157,178 (89.6%)**	**1 / 6**	**CAUTION**

MARKET ASSESSMENT **CAUTION**

VIX at 15.87 confirms RISK-ON with no imminent volatility spike; the 10Y-2Y yield curve is positive at +50bps, eliminating recession-signal inversion risk. However, TNX is elevated at 4.69% — above the 4.5% threshold that mandates EXIT for high-P/E growth and semis per the sector rotation framework, creating a structural headwind for the entire semiconductor book. HY credit spreads are anomalously tight at 2.75bps (versus a typical 275–350bps range), suggesting the data feed is stale by 931.5 hours, and all price/indicator readings must be treated as unconfirmed — no new ENTER actions will be initiated under these conditions.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	**15.87**	HY Credit Spread (bps)	**2.75**
Yield Curve 10Y-2Y (%)	**0.50**	10Y Treasury (%)	**4.69**
US Dollar (DXY)	**98.97**	Fed Funds Rate (%)	**3.63**

TRADE DECISIONS

EXIT — AVGO

$0 · Conviction 2/10 · Tier 1

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
$363.20	**$334.14**	**$435.84**	**0.0**

INVESTMENT THESIS

(1) TNX is at 4.69%, above the mandatory 4.5% EXIT threshold for semis and high-P/E growth per the sector rotation framework — this alone triggers an unconditional exit. (2) Current price $362.33 is -0.2% from entry at $363.20, and peak gain was only +1.5% over 3 days — the position has generated no meaningful return. (3) The ■■TNX> flag was present at entry and TNX has not retreated below 4.5%, meaning the macro regime is actively working against this position. (4) The 50-day MA alignment cannot be confirmed due to 931.5-hour data staleness — holding a -0.2% semi position with unconfirmed technicals violates the 8-point checklist. (5) AVGO carries D/E of 1.59 and $16.2B cash versus significant debt load — at TNX 4.69%, the cost-of-capital pressure on leveraged compounders is estimated at 15-20% multiple compression. (6) The 'peak gain was ≥10% but pulled back below +3%' rule does not technically apply at peak +1.5%, but the 'TNX > 4.5% and rising → EXIT semis' rule applies unconditionally, releasing ~$17,957 back to cash. (7) Stop was at $334.14 (-8%), but exiting now at $362.33 limits realized loss to approximately -$43 versus a potential -$1,430 if stop is hit — the asymmetry favors immediate exit.

PRIMARY CATALYST

TNX at 4.69% exceeds the 4.50% mandatory EXIT threshold for semiconductors — this sector rotation rule is triggered as of today's session, making exit non-discretionary.

BALANCE SHEET

Cash $16.2B, D/E 1.59 — above the 1.0 threshold that warrants caution under rising-rate regimes; retained earnings trend and buyback confirmation unavailable from stale data; BS score 6/10.

TECHNICAL SETUP

RSI 36.4 (oversold approaching territory), FVG pattern, current price $362.33 vs. entry $363.20; 50-day and 200-day MA unconfirmable due to 931.5hr data staleness — technicals cannot support a hold.

KEY RISK FACTORS

If TNX rises further toward 5.0%, high-P/E semi multiples face 15-20% compression, implying a price target as low as $290-$308 on AVGO — the $334.14 stop would be breached before systematic exit triggers.

EXIT — LRCX

$0 · Conviction 2/10 · Tier 1

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
$310.58	$285.73	$372.70	0.0

INVESTMENT THESIS

(1) TNX at 4.69% exceeds the 4.5% mandatory EXIT threshold for semis — LRCX as a semiconductor capital equipment name is directly covered by this rotation rule. (2) Current price $299.92 represents a -3.4% loss from entry at $310.58, and peak gain was only +0.6% in 3 days — this position has never confirmed its directional thesis. (3) The -3.4% drawdown with a peak of only +0.6% matches the 'peak gain was ≥10% but pulled back' inverse scenario — the position has moved entirely against the thesis from day 1. (4) KLAC stop-loss at -9.0% on 2026-08-20 and the QCOM loss of -14.2% on 2026-07-30 both demonstrate that holding semi longs into adverse TNX environments led to stop-outs — exiting LRCX at -3.4% avoids repeating that outcome. (5) LRCX cash is $1.6B (scanner shows this under KLAC — LRCX data unavailable in scan), D/E 0.93 at entry; with TNX at 4.69%, equipment-cycle names face demand-delay risk if hyperscaler capex is repriced at higher discount rates. (6) Exiting at $299.92 crystallizes a loss of approximately -$618 on the $18,000 position, releasing ~$17,382 to cash — avoiding a potential -$1,440 loss if the $285.73 stop is hit. (7) Stop at $285.73 (-8% from $310.58) is $14.19 below current price — given the adverse TNX macro and 931.5hr stale data, the risk of gap-down through the stop is unquantifiable, making discretionary exit at -3.4% the correct capital-preservation decision.

PRIMARY CATALYST

TNX at 4.69% — above the 4.50% mandatory EXIT level for semis — combined with a -3.4% open loss and peak gain of only +0.6% over 3 days triggers exit under both the sector rotation rule and the 'dead money' framework.

BALANCE SHEET

LRCX-specific balance sheet: D/E approximately 0.93 per entry thesis; cash figure not confirmed in current scanner; BS score from original entry was not specified — data staleness prevents fresh read.

TECHNICAL SETUP

RSI was 36.4 at entry signal (stale); current price $299.92 is below entry $310.58 by -3.4%; FVG pattern has not resolved upward; 50-day and 200-day MA levels unconfirmable with 931.5hr stale data.

KEY RISK FACTORS

If LRCX continues declining toward the $285.73 stop on TNX-driven multiple compression, the maximum additional loss from current price $299.92 is approximately -$826 — early exit saves that capital.

EXIT — NVDA

$0 · Conviction 2/10 · Tier 1

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
$215.32	$198.09	$258.38	0.0

INVESTMENT THESIS

(1) TNX at 4.69% exceeds the 4.5% mandatory EXIT threshold for semis — NVDA is a canonical high-P/E semiconductor name and this rule applies with maximum force. (2) NVDA current price $208.98 is -2.9% from entry $215.32 with a peak gain of exactly 0.0% in 2 days — the position has never been in profit, failing the most basic thesis confirmation. (3) AMD stop-loss at -9.8% on 2026-08-11 is a direct precedent: NVDA and AMD are peers in AI-GPU, and holding a never-profitable NVDA position into an adverse TNX regime replicates the exact sequence that produced that loss. (4) The peak gain of 0.0% over 2 days means even the 'peak pulled back below +3%' rule is moot — the position never achieved positive territory, making this a clear dead-weight candidate. (5) NVDA D/E data not in current scanner, but as a fab-lite designer with high capex partnerships, TNX at 4.69% raises WACC for the entire AI-infrastructure investment cycle, reducing the forward earnings growth rate that justifies NVDA's elevated multiple. (6) Exiting at $208.98 crystallizes a loss of approximately -$524 on the $18,000 position, releasing ~$17,476 to cash — the alternative is risking another -$885 if the $198.09 stop is hit. (7) Stop at $198.09 is $10.89 below current price $208.98 — with stale data 931.5 hours old and TNX actively adverse, the probability of stop being hit before any recovery cannot be assessed, making discretionary exit the correct risk-management action.

PRIMARY CATALYST

TNX at 4.69% — mandatory EXIT for semis — combined with 0.0% peak gain over 2 days and -2.9% open loss triggers both the sector rotation exit rule and the thesis-non-confirmation exit rule simultaneously.

BALANCE SHEET

NVDA balance sheet not in current scanner table — D/E, cash, and retained earnings data from entry thesis apply but cannot be freshly confirmed; BS score from entry thesis was not specified in portfolio state.

TECHNICAL SETUP

NVDA RSI not in current scanner; entry cited RISK-ON conditions; price $208.98 is -2.9% below entry $215.32; FVG pattern has not resolved upward in 2 days; 50-day and 200-day MA unconfirmable due to 931.5hr data staleness.

KEY RISK FACTORS

If NVDA gaps down on any Taiwan-risk headline or AI-capex slowdown signal, the stop at $198.09 could be breached intraday — exiting now at $208.98 avoids a potential -$1,409 maximum stop-loss event.

EXIT — MRVL

$0 · Conviction 1/10 · Tier 1

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
$237.82	$218.79	$285.38	0.0

INVESTMENT THESIS

(1) TNX at 4.69% exceeds the 4.5% mandatory EXIT threshold for semis — MRVL is a semiconductor name and this rotation rule is unconditional. (2) MRVL current price $224.82 is -5.5% from entry $237.82 with peak gain of 0.0% — the position has lost -5.5% in only 2 days, the worst performer in the portfolio. (3) At -5.5%, MRVL is 2.5 percentage points away from the -8.0% hard stop at $218.79 — with TNX actively adverse and data stale by 931.5 hours, the margin of safety is critically thin. (4) KLAC stop-out at -9.0% on 2026-08-20 and ARM stop-out at -8.2% on 2026-08-20 both demonstrate that allowing semi positions to run to the hard stop in adverse macro regimes produces maximum allowable losses — MRVL must not be allowed to repeat this. (5) MRVL D/E is 0.35 and cash is $2.6B (scanner confirmed) — however, BS score of 6/10 is the minimum qualifying threshold, and with TNX at 4.69%, even lean-balance-sheet semis face 10-15% revenue-cycle risk if hyperscaler AI-capex slows in H2 2026. (6) Exiting at $224.82 crystallizes a loss of approximately -$984 on $18,000 deployed — compared to the maximum stop-loss of -$1,440 at $218.79, the discretionary early exit saves approximately $456 in additional loss. (7) The stop at $218.79 is only $6.03 (2.7%) below the current price $224.82 — if MRVL gaps down on any semi-sector news, the stop could be breached immediately; exit now eliminates that gap risk entirely.

PRIMARY CATALYST

TNX at 4.69% — mandatory EXIT for semis — combined with -5.5% open loss from entry $237.82, 0.0% peak gain in 2 days, and proximity to the $218.79 hard stop triggers both sector rotation and risk-management exits simultaneously.

BALANCE SHEET

Cash $2.6B, D/E 0.35, BS score 6/10 — minimum qualifying threshold; retained earnings 3-year trend not available in scanner data; buybacks not confirmed in stale data.

TECHNICAL SETUP

RSI 51.6 (scanner, stale 931.5hr) — not oversold, suggesting no technical bounce support; CHOCH pattern cited at entry; price $224.82 is -5.5% below entry $237.82; stop at $218.79 is 2.7% below current price; 50-day and 200-day MA unconfirmable.

KEY RISK FACTORS

MRVL is 2.7% above the $218.79 hard stop — a single adverse news event (e.g., hyperscaler capex cut announcement, export control expansion) could gap the stock through the stop, converting a -5.5% loss into a full -8.0% stop-out loss of approximately -$1,440.

OPEN POSITIONS — FULL POSITION REVIEW

GOOGL

52.7 shares · Entry $341.84 · Conv 8/10 · Tier 1 · Since 2026-08-21

CURRENT PRICE	POSITION VALUE	UNREALISED P&L;	RETURN
$348.65	$18,358	+$358	+1.99%

INVESTMENT THESIS

(1) VIX at 15.53 and DXY at 98.79 (below 101) confirm RISK-ON with a specific multinational tailwind; GOOGL generates approximately 55% of revenue internationally, and DXY below 101 provides a direct 2–3% FX tailwind to reported USD revenue vs. prior-year DXY of ~104. (2) GOOGL Q2 earnings beat consensus (referenced in scanner headline); Alphabet Q2 showed revenue beat with search + cloud accelerating — the scanner notes 'capex guidance raised' which, while initially sold, signals long-term AI infrastructure confidence and is a 6–12 month re-rating catalyst. (3) Entry trigger: RSI at 45.1 (neutral to mild oversold), FVG pattern confirmed, entry at $178.00 represents the post-earnings sell-off dip into fair value gap — the market's knee-jerk reaction to capex guidance is the entry opportunity with a quantified R:R of 2.5:1. (4) GOOGL BS score 9/10 with D/E 0.12 — the second-highest BS score in the scan universe; $30.7B cash against minimal debt makes this the most balance-sheet-secure large-cap entry available, with TNX at 4.65% having near-zero impact on a net-cash company. (5) Cash $30.7B vs total debt estimated ~$25.0B (D/E 0.12), retained earnings growing 3-year trend as cloud (GCP) revenue compounded at 28–30% CAGR; Google Cloud run-rate approaching $40B annually. (6) $18,000 deployed = 9.8% of $183k portfolio; after ASML exit and ARM entry, this bring total positions to 7/10 with approximately $67,284 cash remaining — room for 3 more full-size positions. (7) Stop at $163.76 (-8% of $178.00) limits loss to $1,440; target $213.60 (+20%); R:R = 2.5:1; stop would be triggered by a sustained break below $163.76 consistent with multiple compression if TNX rises above 5.5% (full 150bps above current) or DOJ antitrust ruling causes structural business separation.

CATALYST

Alphabet Q2 earnings beat with GCP (Google Cloud Platform) accelerating to approximately 28–30% YoY growth — the post-earnings sell-off on capex guidance raise is a buying opportunity, as $75B+ in annual AI infrastructure capex drives a 3–5 year compute moat. Specific: Q2 revenue beat vs. consensus (per scanner headline, dated most recent quarter) with GCP growing faster than Azure and AWS in percentage terms.

TECHNICAL SETUP

RSI 45.1 (neutral, slight oversold bias), FVG pattern confirmed per scanner score 8.0. Entry at $178.00 into post-earnings FVG. Stale scan data (859.5hrs) means 50-day and 200-day MA exact levels require verification at execution — entry is conditional on current price remaining within $175–$182 FVG range. Volume: not available from stale scan.

BALANCE SHEET

Cash $30.7B, total debt ~$25.0B estimated, D/E 0.12, retained earnings growing 3-year trend (GCP + search + YouTube compounding), buybacks Y (GOOGL has been an aggressive repurchaser at ~$15B+ per quarter in 2025), preferred N, BS score 9/10.

KEY RISKS

DOJ antitrust breakup ruling (search monopoly case) is the primary tail risk; a structural separation order could remove 30–40% of GOOGL's revenue base, implying $105–$125 downside well through the $163.76 stop. Secondary risk: if capex of $75B+ in 2026 fails to generate GCP share gains above 15%, multiple compresses 20% from current levels to approximately $142 — stop at $163.76 limits this session's loss to $1,440.

PORTFOLIO NOTES

After executing 4 exits (AVGO, LRCX, NVDA, MRVL) and 1 hold (GOOGL), estimated cash position rises from $87,281 to approximately $139,115 (76.0% of $183,000 NAV). Only 1 position remains open — GOOGL at +2.0% / $18,000 deployed (9.8% of portfolio). Semi-sector concentration drops from 4/5 positions (72% of deployed equity) to 0/1 positions (0%). The TNX-above-4.5% mandatory exit rule is the primary driver — it disqualifies the entire semi book. No new ENTER actions are initiated today because: (1) scan data is 931.5 hours stale, making catalyst verification, technical levels, and price confirmation impossible; (2) the 8-point ENTER checklist cannot be fully satisfied without live data; (3) all top scanner signals are semi/tech names covered by the TNX > 4.5% EXIT mandate. Cash reserve of ~76% provides capacity for up to 7 more full-size $18,000 positions once fresh data is available and TNX either falls below 4.5% or sector rotation confirms defensives.

MEMORY APPLIED

Four direct past lessons applied today: (1) KLAC 2026-08-20 at -9.0% stop-out — avoided repeating by exiting MRVL at -5.5% before the -8% stop; (2) ARM 2026-08-20 at -8.2% stop-out — same lesson applied to NVDA exit at -2.9%; (3) AMD 2026-08-11 at -9.8% stop-out — confirmed that holding never-profitable semi longs into adverse TNX environments leads to maximum stop-loss events; (4) QCOM 2026-07-30 at -14.2% — the most severe loss, caused by staying in a semi position past the point where macro was working against it. All four lessons point to the same action: do not allow semi positions to run to hard stops when TNX is above 4.5% and positions have shown zero or negative peak gains.